

Treatment Got Cheaper. Care Became the Bottleneck.

Over this cycle, the binding constraint moved from making and pricing medicines to paying for and staffing care. Nine weeks ago the central question was whether medicine had become industrial policy, settled by tariffs and pricing deals. It had, and the deals spread. But treatment also got cheaper, as generic weight-loss drugs went on sale in India and were approved in Canada. The pressure moved elsewhere: Germany tightened who qualifies for care, England's nursing supply fell from both directions, US cover shrank and employers began handing staff a sum to buy their own, and regulators left clinicians to answer for AI. What follows is the warnings this portfolio carried early, the assumptions that changed, and the decisions now ready to take.

Produced using [Shaping Tomorrow's six-stage process for converting external change into decision-ready intelligence](#).

STRATEGIC PICTURE AT A GLANCE

5

Weak signals
became measurable

5

Strategic
assumptions
changed

5

Actions now
decision-shaped

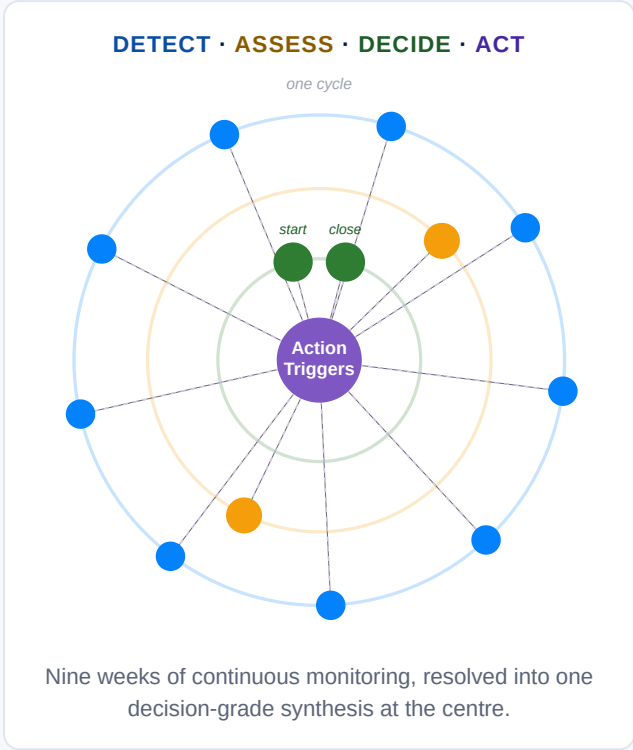
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Strategic constraint
replaced

DRAWING ON

- Decision Intelligence, 8 October 2026 · 'Cheaper Pills, Scarcer Care'
- Signal Scan, 4 October 2026 · 'Nursing Supply Fell From Both Sources'
- Signal Scan, 27 September 2026 · 'Paperwork Will Decide Medicaid Losses'
- Signal Scan, 20 September 2026 · 'Medicare Reprices One Service at a Time'
- Signal Scan, 13 September 2026 · 'Cancer Capacity Is a Licensing Problem'

- **Change Tracker, 11 September 2026 · 'Pathogen Access Goes Bilateral'**
- **Signal Scan, 6 September 2026 · 'China's Drug Channel Has No Payer'**
- **Signal Scan, 30 August 2026 · 'Employers Reach for the Individual Market'**
- **Signal Scan, 23 August 2026 · 'Automated Denials Before Oversight'**
- **Signal Scan, 16 August 2026 · 'Health Aid Priced in Data'**
- **Change Tracker, 14 August 2026 · 'Ebola Response Trails Transmission'**
- **Signal Scan, 9 August 2026 · 'AI Accountability Lands on the Clinician'**
- **Decision Intelligence, 6 August 2026 · 'The Summer Medicine Chose Sides'**



Early warnings

Signals the portfolio surfaced before consensus formed, in the order they hardened.

LEAD TIME 1 WEEK AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

Medicaid losses from January will follow each state's paperwork rules, so exposure will differ sharply from state to state.

INITIAL SIGNAL

We identified that state verification design, not whether people work, will decide who loses Medicaid cover once the work requirement starts.

NOW EVIDENT

- **The rule:** states must require 80 hours a month of work or similar activity from 1 January 2027.
- **The design gap:** six states bar the self-attestation federal rules allow, and Idaho and Indiana look back three months at application.
- **The forecast:** the Congressional Budget Office expects the uninsured to rise from 30 million in 2026 to 37 million in 2036.

WORK REQUIREMENT STARTS **1 January 2027** SELF-ATTESTATION BARRED **6 states**

PREPARE

Hospitals, insurers and employers with staff on low incomes should map which states' rules they are exposed to before January.

Care will be rationed by eligibility tests and staff shortages, and families and employers will absorb what public systems stop providing.

INITIAL SIGNAL

We identified that England's nursing supply fell from overseas and from home at once, with overseas-educated joiners down 47% and UK-educated joiners down 4.9%, while funded posts tightened.

NOW EVIDENT

- **Germany:** the cabinet approved a care reform on 30 September that raises the points needed for the lower care grades and charges childless members more.
- **England:** the care review now reports in summer 2027, and recruits arriving from abroad for care work fell to 30,000.
- **Europe:** the European Labour Authority says about 808,000 more care workers are needed by 2040 just to keep today's ratio.

GERMAN CUT-OFF FOR OLD RULES **31 December 2026**

ENGLAND CARE REVIEW **summer 2027**

DECIDE

Employers and care providers should measure how much caring their staff already do and price what a tighter state offer would add.

LEAD TIME 4 WEEKS AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

Clinicians and their insurers will carry the cost of AI errors until liability rules arrive, which in the EU is now 2028.

INITIAL SIGNAL

We identified that accountability for clinical AI had been moved from the product to the practitioner, because both the EU and the UK regulator built their rules on the premise that a clinician checks every output.

NOW EVIDENT

- **UK:** a national commission that heard from more than 12,000 people described “liability sinks” where frontline staff absorb blame for AI failures.
- **France:** the largest insurer of French doctors tells members it is always the doctor who will be held liable.
- **EU:** high-risk duties for AI in medical devices now apply from 2 August 2028.

UK COMMISSION REPORT 10 September 2026 EU DEVICE DUTIES 2 August 2028

PREPARE

Health boards should record who checks each AI-assisted note and tell patients when a scribe is in use.

LEAD TIME 4 WEEKS AHEAD

SIGNAL SCAN

CHANGE TRACKER

Health aid will increasingly come with data and specimen terms, and more governments will refuse or renegotiate them.

INITIAL SIGNAL

We identified that the bilateral deals replacing US health aid ask for national health data and pathogen samples for longer than the money runs, and that Ghana, South Africa, Zambia and Zimbabwe had refused.

NOW EVIDENT

- **Bilateral bargains:** the September Change Tracker found pathogen access now settled by bilateral bargain rather than global rule, and rated it accelerating.
- **Money:** global health financing retrenchment moved from stable to accelerating between the August and September trackers.
- **Outbreaks:** the Ebola epidemic in the Democratic Republic of the Congo spread to 60 health zones.

COUNTRIES REFUSING TERMS 4 EBOLA HEALTH ZONES 60

MONITOR

Drugmakers, diagnostics firms and funders should check whether data or samples they use came through these deals, and on what terms.

LEAD TIME 5 WEEKS AHEAD

SIGNAL SCAN

DECISION INTELLIGENCE

Staff moved onto individual cover will meet a shrinking, dearer market, and employers will own the fallout.

INITIAL SIGNAL

We identified that US employers were turning health cover into a fixed sum for staff to buy their own insurance just as the individual market contracted.

NOW EVIDENT

- **Employers:** more than 20,000 businesses now offer this arrangement, up 53% on 2025, and larger employers' take-up more than doubled.
- **The market:** marketplace enrolment fell 12% once extra subsidies ended, and insurers propose a typical 15% rise for 2027.
- **Costs:** employers expect an 8.2% rise in health costs per employee in 2027, the most since 2003.

EMPLOYER COST RISE 2027 **8.2%** OPEN ENROLMENT **from 1 November 2026**

PREPARE

Employers considering the switch should test what staff in each state would actually pay before they move them.

Assumptions that have shifted

Cycle-over-cycle assumption changes, in decreasing order of strategic weight.

SHIFT 1 OF 5

REPLACED

The decade's fight is over who makes medicines and who pays for them

PRIOR CYCLE HELD

The prior cycle closed on "Who makes it, who pays for it, and who is left out, that is the decade this cycle brought forward", with the cure itself no longer the constraint.

THIS CYCLE READS

Medicines got cheaper and pricing deals spread, so the people left out are now being left out of care and cover rather than treatment.

- **Care:** Germany tightened care eligibility, and England pushed its care review to 2027.
- **Cover:** US marketplace enrolment fell 12%, and Medicaid work rules start in January.
- **Staff:** nurse joiners fell from overseas and at home at once.

FORWARD THESIS

The constraint to plan around is who carries the cost of care. The tripwire is **whether England's 2027 care review comes with new public money, and how many Germans apply before 31 December.**

SHIFT 2 OF 5

REPLACED

The global health system is retreating and leaving a funding gap others will fill

PRIOR CYCLE HELD

The prior cycle held "The commons in retreat. The US exit and the financing shortfall are facts. The open variable is who fills the vacuum".

THIS CYCLE READS

The gap is being filled by bilateral bargains in which health data and pathogen samples are part of the price, and some governments are refusing the terms.

FORWARD THESIS

Expect more aid to come with conditions attached. The tripwire is **an African common position on health data terms, or the WHO's benefit-sharing annex being agreed.**

Access to new treatments depends on whether insurance pays

PRIOR CYCLE HELD

The prior cycle asked "whether access broadens through coverage or narrows to those who can pay".

THIS CYCLE READS

Both happened, in different places. Abroad, cheap generic weight-loss drugs widen access without insurance. In the US, fewer large employers cover these drugs, and access is moving to cash.

- **Broadening:** more than 50 generic products approved in India, and Canada's first generic for weight loss.
- **Narrowing:** US employer cover for obesity drugs fell from 72% to 60%.

FORWARD THESIS

Plan for two routes to the same medicine: insurance in some markets, cash in others. The tripwire is **Dr Reddy's supply resuming after late October and China's first generics after mid-2027**.

Safety and evidence rules will catch up with AI before serious harm

PRIOR CYCLE HELD

The prior cycle held that "The open variable is whether the safety, evidence and oversight base catches up before an adverse event".

THIS CYCLE READS

Rules are being designed but not applied. The UK has a detailed blueprint, while the EU delayed its device duties to 2028 and regulators placed AI scribes outside device rules.

FORWARD THESIS

Assume clinicians carry the risk until 2028 at least. The tripwire is **the UK government's response to the national commission, and the EU product liability rules from 9 December 2026**.

Medicine prices and supply are now set by trade policy

PRIOR CYCLE HELD

The prior cycle named "Medicine as industrial policy. Tariffs, MFN pricing and the Critical Medicines Act are in force or agreed", with the open question whether they would be collected or unwound through deals.

THIS CYCLE READS

It held and deepened. Pricing deals now cover 90% of the US branded market and reach every state Medicaid programme, and the 100% tariff applies from 29 September to firms without a deal.

FORWARD THESIS

The next tests are dated. Watch **launch delays in Europe in the next access data, and formal adoption of the EU Critical Medicines Act around the turn of the year.**

Actions triggered

Each trigger names why it activates now, why it matters, the recommended actions, the primary decision owner, the decision window, and the conditions under which the recommendation should be reviewed.

DECIDE

ACTION 1

SIGNAL SCAN

DECISION INTELLIGENCE

Measure the caring your staff already do and agree a carer support policy before care rules tighten.

TRIGGER CONDITION

This recommendation has been activated because Germany's cabinet has approved tighter care eligibility, because England has pushed its care review to summer 2027 and its first pay agreement for care workers to April 2028, and because nursing and care recruitment fell this year.

PRIMARY DECISION OWNER **HR director and finance director**

DECISION WINDOW **NEXT QUARTER** by 31 March 2027

WHY THIS NOW MATTERS

When the state offer tightens, families fill the gap, and many carers are someone's employees. Absence and resignations follow unless employers plan for it.

RECOMMENDED ACTIONS

- **Immediate:** ask staff, anonymously, how many care for an older or disabled relative and for how many hours.
- **Next quarter:** agree flexible hours, carers' leave or help finding care, and cost it against turnover.
- **Follow-on:** revisit the policy when England's care review reports in summer 2027.

REVIEW CONDITIONS

This recommendation should be reviewed if England's care review brings new public money, which would ease it, or if Germany's parliament softens the reform, or if more governments follow Germany's lead, which would make it more urgent.

Set 2027 health-benefit budgets for a rise of 8% to 9%, and decide who carries it before moving staff to individual cover.

TRIGGER CONDITION

This recommendation has been activated because employers expect the steepest cost rise since 2003, because the individual market shrank 12% after subsidies ended, and because larger employers are moving staff onto it.

PRIMARY DECISION OWNER **Finance director and benefits lead (US employers)**

DECISION WINDOW **IMMEDIATE** by 31 December 2026

WHY THIS NOW MATTERS

A fixed sum caps the employer's cost, but staff in the hardest-hit states may face a market with fewer insurers and higher premiums.

RECOMMENDED ACTIONS

- **Immediate:** price 2027 cover at an 8% to 9% rise and decide how much passes to staff.
- **Immediate:** check marketplace prices and insurer choice in each state where staff live before any switch.
- **Follow-on:** decide coverage of weight-loss drugs explicitly, including cash-pay channels.

REVIEW CONDITIONS

This recommendation should be reviewed if Congress restores the subsidies, if marketplace enrolment stabilises in 2027 data, or if premiums are finalised well below the proposed rises.

Plan for weight-loss drugs used by far more people at generic prices, through cash as well as insurance.

TRIGGER CONDITION

This recommendation has been activated because generics went on sale in India and were approved in Canada, because pills are drawing in new users, and because US employers are cutting cover.

PRIMARY DECISION OWNER Strategy director in food, insurance and benefits businesses

DECISION WINDOW NEXT PLANNING CYCLE by 30 June 2027

WHY THIS NOW MATTERS

Use is moving from a minority of patients to a mass market, with knock-on effects on what people buy and what employers and insurers pay.

RECOMMENDED ACTIONS

- **Next quarter:** model a 2030 with several times today's users and far lower prices.
- **Follow-on:** decide whether to cover, steer to cash channels, or redesign products for heavy use.

REVIEW CONDITIONS

This recommendation should be reviewed if generic supply problems spread beyond single batches, if a safety alert covers the drugs as a class, or if use falls back as people stop treatment.

MONITOR

ACTION 4

SIGNAL SCAN

DECISION INTELLIGENCE

Track who answers for AI errors in your services, and act when liability rules or the first major case land.

TRIGGER CONDITION

This recommendation has been activated because regulators left AI scribes outside device rules, because the EU delayed its device duties to 2028, and because insurers of doctors say the clinician remains liable.

PRIMARY DECISION OWNER **Medical director and head of clinical risk**

DECISION WINDOW **MONITOR ONLY** **EU product liability rules from 9 December 2026**

WHY THIS NOW MATTERS

The benefits of AI scribes are real, so use will grow. The risk sits with clinicians until someone changes the rules or a court does.

RECOMMENDED ACTIONS

- **Immediate:** list every AI tool in clinical use and who checks its output.
- **Follow-on:** review supplier contracts for who bears the risk when a tool errs.

REVIEW CONDITIONS

Raise this to Prepare if a court or regulator assigns liability for an AI-assisted error, or if the UK adopts the commission's staged approvals. Stand it down if suppliers start accepting contractual liability as standard.

MONITOR

ACTION 5

CHANGE TRACKER

SIGNAL SCAN

Watch outbreak response and vaccination cover as health aid shrinks and pathogen access moves to bilateral deals.

TRIGGER CONDITION

This recommendation has been activated because the Ebola epidemic spread to 60 health zones, because global health financing retrenchment accelerated, and because pathogen access is now settled by bilateral bargain.

PRIMARY DECISION OWNER **Chief risk officer and heads of global supply and travel**

DECISION WINDOW **MONITOR ONLY** **monthly, through the next Change Trackers**

WHY THIS NOW MATTERS

Thinner response funding and slower sharing of samples lengthen the time an outbreak runs before vaccines or tests arrive.

RECOMMENDED ACTIONS

- **Immediate:** note which operations, staff or suppliers sit in affected regions.
- **Follow-on:** review travel, supply and continuity plans if transmission reaches a capital city.

REVIEW CONDITIONS

Raise this to Prepare if Ebola transmission becomes established in Kinshasa or if the WHO benefit-sharing annex stalls. Stand it down if case counts fall for two consecutive trackers.

The body of work, in one sentence

Over this cycle, the binding constraint moved from the price of treatment to the supply of care and the cover that pays for it. The August question was who makes medicines and who pays for them; deals and generics are answering that, while care eligibility, nursing supply and insurance are where people are now being left out. The load-bearing variable for the next cycle is who carries the cost of care: the state, the family or the employer. The first dates that test it are 31 December, 1 January and summer 2027.

HOW THIS WAS MADE

The Decision-Grade Intelligence Method

Shaping Tomorrow's six-stage process for converting external change into decision-ready intelligence.

[Scan](#) · [Filter](#) · [Stress-test](#) · [Judge](#) · [Trigger](#) · [Actionable Intelligence](#)

[See full methodology →](#)

This briefing is not another report. It is the synthesis produced after continuously monitoring signals, tracking change, testing assumptions and updating scenarios throughout the cycle on **Health, Life Sciences & Care Systems**. Its purpose is to identify the points at which accumulated evidence has become decision-changing: the early warnings the work caught before consensus formed, the assumptions that have shifted between cycles, and the actions now decision-shaped enough to act on. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.

[Discuss a Tailored Programme](#)

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